

May 18, 2026 04:45 AM GMT

China Property | Asia Pacific

Softer Sales Declines in April;
We Stay Prudent on Durability

Home sales posted a milder y-y drop in April on a low base, but construction activity softened further. We see the recent strong secondary home sales to decelerate in the coming months, given the still-high inventory, fragile buyer sentiment, and limited improvement on resident income/leverage.

Softer sales decline in April on a low base, as expected, with rebased national sales fell 7.6% y-y in value and 9.5% y-y in volume (vs. -17% and -10% in 3M26, respectively), leading YTD sales to -15% y-y in value and -10% in volume in 4M26. The NBS 70-city home price index continued to edge down, at a similar pace, falling 0.2% m-m in both primary and secondary markets in March (vs. -0.2% and -0.2% in March, respectively). In particular, Tier-1 cities witnessed +0.1% in primary and +0.4% in secondary (vs. +0.2 and +0.4% in March) amid strong secondary sales.

Construction activity stayed sluggish: Completions fell 19% y-y and new starts fell 27% y-y in March (vs. -19% and -17% in March, respectively). Combined with the reduced construction scale, the decline of real estate investment widened to -13.7% y-y in 4M26 (vs. -11.2% in 3M26). We expect the construction activity to remain lackluster in 2026 as developers are still prudent on landbanking given uncertain sales outlook.

Sustainability still in concern: While secondary real-time home sales in select high-tier cities have beat market expectations in March-April, we see fast deceleration in the latest weeks in May. Also, we note further divergence among cities in terms of secondary listing volume and listing prices, with select Tier 2 and low-tier cities continued to worsen. Together with still-fragile resident sentiment and diminishing effect of recent city-level policies, we stay prudent about the durability of sales rebound, although the drops may remain narrow in coming months on favorable bases.

Stick with alpha: We see industry risk-reward as tilting towards the downside after the recent share price rally. We remain selective and favor quality names with credible self-help stories: 1) strong mall operators with C-REIT potential – **CR Land (1109.HK)** and **Seazen (601155.SS)**; and 2) residential consolidators with visible path to margin and earnings recovery – **C&D (1908.HK)**.

Exhibit 1: Rebased NBS 4M26 property data summary

	Unit	YTD 2026	YTD 2025	YoY	2026-04	2025-04	MoM	YoY	2026-03	2025-03	YoY
Total sales value	(Rmb bn)	2,300	2,693	-14.6%	574	621	-36.8%	-7.6%	908	1,046	-13.3%
Residential sales value	(Rmb bn)	2,007	2,381	-15.7%	515	550	-33.7%	-6.4%	776	915	-15.2%
Total GFA sold	(mn sqm)	253	281	-10.2%	57	63	-44.0%	-9.5%	102	110	-7.4%
Residential GFA sold	(mn sqm)	209	238	-12.2%	49	53	-41.3%	-9.1%	83	92	-10.3%
Total RE investment	(Rmb bn)	2,397	2,777	-13.7%	625	782	-22.9%	-20.1%	811	914	-11.3%
Residential RE investment	(Rmb bn)	1,846	2,125	-13.1%	493	604	-21.1%	-18.4%	625	705	-11.3%
Total GFA started	(mn sqm)	139	178	-22.0%	35	48	-33.3%	-26.6%	53	64	-17.4%
Residential GFA started	(mn sqm)	101	132	-23.6%	26	37	-29.2%	-27.8%	37	47	-20.7%
Total GFA completion	(mn sqm)	119	156	-24.0%	21	26	-39.6%	-19.0%	35	43	-19.1%
Residential GFA completion	(mn sqm)	85	114	-25.8%	15	19	-36.8%	-22.3%	24	32	-25.7%

Source: NBS, CEIC, Morgan Stanley Research

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CHINA PROPERTY

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In-Line

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Valuation Methodology and Risks

China Resources Land Ltd. (1109.HK)

Our HK\$60.88/share 2026e NAV comprises HK\$15.62 of development properties (DCF, 8.0% WACC), HK\$55.22 of investment properties (cap rate 5-8%) and HK\$9.96 of net debt. To this we apply a 30% discount based on our developers' scorecard, comprising landbank (with a 8/10 score), execution (8), scale (9), growth (8), profitability (8), financing (10) and leverage (10). We use 30-45% discounts in our coverage.

Risks to Upside

- Stronger-than-expected contracted sales.
- Accelerated openings of new malls.

Risks to Downside

- Weaker-than-expected contracted sales.
- Slower-than-expected openings of new shopping malls.

C&D International Investment Group Ltd (1908.HK)

Our HK\$28.90/share 2026e NAV comprises HK\$26.80/share of development properties (DCF, 8.5% WACC), HK\$1.02/share of other business and HK\$1.08/share of net debt. To this we apply a 35% discount based on our developers' scorecard, comprising landbank (with a 8/10 score), execution (8), scale (8), growth (8), profitability (7), financing (9), and leverage (8). We use 30-45% discounts in our coverage.

Risks to Upside

- Stronger-than-expected contracted sales.
- Stronger-than-expected gross margin.

Risks to Downside

- Weaker-than-expected gross margin.
- Slower-than-expected land acquisitions.

Seazen Holdings Company Ltd. (601155.SS)

Our Rmb35.84/share 2026e NAV comprises Rmb15.70 of development properties (DCF, 9.2% WACC), Rmb39.45 of investment properties (cap rate 6-8%) and Rmb20.86 of net debt. To this we apply a 40% discount based on our developers' scorecard, comprising landbank (with a 5/10 score), execution (7), scale (6), growth (5), profitability (6), financing (7), and leverage (7). We use 30-45% discounts in our coverage.

Risks to Upside

- Stronger-than-expected contract sales
- Stronger-than-expected new IP launching and IP operation
- Faster-than-expected land acquisition

Risks to Downside

- Faster-than-expected compression of development margin
- Weaker-than-expected growth of recurring income
- Slower-than-expected divestment of shopping malls into private REITs

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(as of April 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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Stock Price, Price Target and Rating History (See Rating Definitions)

C&D International Investment Group Ltd (1908.HK) - As of 05/18/26 GMT in HKD
Industry : China Property



Stock Rating History: 8/1/24 : 0/I

Price Target History: 8/1/24 : 17.9; 9/10/24 : 16.81; 2/11/25 : 15.46; 5/2/25 : 19.53; 8/21/25 : 23.51; 1/28/26 : 20.62; 3/30/26 : 18.79

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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China Resources Land Ltd. (1109.HK) - As of 05/18/26 GMT in HKD
Industry : China Property



Stock Rating History: 5/1/21 : 0/A; 7/2/21 : 0/I; 10/11/21 : 0/A; 10/10/22 : 0/I; 12/21/22 : 0/A; 5/17/24 : 0/I

Price Target History: 12/11/20 : 46.46; 5/6/21 : 50.79; 7/2/21 : 44.81; 9/15/21 : 41.53; 10/11/21 : 44.49; 12/7/21 : 47.46; 5/27/22 : 45.19; 10/10/22 : 38.98; 11/7/22 : 35.4; 11/30/22 : 41.3; 12/21/22 : 46.3; 1/16/23 : 47.6; 3/29/23 : 48.6; 9/11/23 : 44.1; 2/6/24 : 35.2; 3/26/24 : 35.9; 8/6/24 : 32.1; 8/28/24 : 30; 2/11/25 : 30.5; 5/2/25 : 33.6; 6/4/25 : 38.8; 7/24/25 : 39.3; 1/28/26 : 39.2; 3/31/26 : 39.3; 5/8/26 : 42.6

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Seazen Holdings Company Ltd. (601155.SS) - As of 05/18/26 GMT in CNY
Industry : China Property



Stock Rating History: 5/1/21 : U/A; 7/2/21 : U/I; 10/11/21 : U/A; 10/10/22 : E/I; 12/21/22 : E/A; 5/17/24 : E/I; 11/3/25 : O/I
Price Target History: 8/25/20 : 28.54; 5/6/21 : 34.38; 7/2/21 : 30.94; 12/7/21 : 27.5; 5/27/22 : 23.51; 10/10/22 : 18.55;
11/30/22 : 23.2; 12/21/22 : 27.2; 5/3/23 : 15.3; 9/11/23 : 15.6; 2/6/24 : 10.4; 9/10/24 : 11.1; 2/11/25 : 11.5; 5/2/25 : 13.9;
9/19/25 : 15.7; 11/3/25 : 19.7; 3/2/26 : 22.3; 4/2/26 : 20.6

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: China Property

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/15/2026)
Stephen Cheung, CFA		
C&D International Investment Group Ltd (1908.HK)	O (08/01/2024)	HK\$17.49
China Jinmao Holdings Group Ltd (0817.HK)	E (03/28/2024)	HK\$1.86
China Merchants Shekou Industrial Zone (001979.SZ)	E (05/06/2021)	Rmb9.07
China Overseas Land & Investment Ltd. (0688.HK)	E (01/20/2025)	HK\$16.51
China Resources Land Ltd. (1109.HK)	O (01/02/2019)	HK\$37.68
China Vanke Company Ltd. (2202.HK)	E (11/07/2023)	HK\$3.08
China Vanke Company Ltd. (000002.SZ)	U (11/30/2022)	Rmb3.78
Gemdale Corporation (600383.SS)	U (01/28/2026)	Rmb2.87
Greentown China Holdings (3900.HK)	U (08/26/2025)	HK\$10.44
Longfor Group Holdings Ltd. (0960.HK)	E (05/17/2024)	HK\$9.26
Poly Developments and Holdings Group (600048.SS)	E (05/17/2024)	Rmb6.21
Seazen Group Ltd (1030.HK)	O (01/28/2026)	HK\$2.15
Seazen Holdings Company Ltd. (601155.SS)	O (11/03/2025)	Rmb14.85
Yuxiu Property Co Ltd (0123.HK)	O (09/27/2024)	HK\$4.66

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* Historical prices are not split adjusted.